

component was 75 per cent (i.e. Rs 75,000 in equity and Rs 25,000 in debt) the same investor would have a corpus of Rs 13.3 lakh in twenty years!

In the course of the next few chapters, we will lay out a very different way to make money and generate serious wealth in India without taking untoward risks and making your broker or financial intermediary rich. Most of these practices are quite intuitive and yet are followed by only a few.

In **Chapter 2**, we will demonstrate how to build a Coffee Can Portfolio using consistency of historical revenue growth and return on capital employed. Such a portfolio beats benchmarks across all time periods and also performs admirably well during stressful periods (like the Lehman crisis in 2008) when the overall stock market nosedived. If invested for over a decade with no churn, this portfolio generates returns that are substantially higher than the benchmark stock market index in India, the Sensex.

In **Chapter 3**, we study the impact of expenses on the value of the portfolio. We also witness the evolution of mutual funds—globally and in India. Along with this, we also learn the difference between active and passive funds. Globally, we are seeing a massive shift in investment flows from active funds to passive funds because active funds are no longer giving the outperformance they used to and passive funds are far cheaper. In India, we see that large-cap mutual funds outperformance vis-à-vis the Sensex has more or less vanished. However, they still continue to charge high fees compared to their global counterparts. In this chapter, we also learn about the introduction of ‘direct’ mutual funds and the concept of ‘advisory’ vs ‘distribution’.

In **Chapter 4**, we take a look at real estate, the asset class which accounts for the lion’s share of most Indian investors’ portfolios. We study, in contrast to popular perception, how residential real estate has given very poor returns to investors over long periods of time. We also show the other disadvantages of this asset class—high transaction costs, illiquidity and sub-optimal taxation. Along with that, the bubble-like valuations in the residential real estate in India forebodes sustained underperformance in this asset class in the foreseeable future. Commercial real estate, on the other hand, appears to be a far more promising asset class in India.